Supriya Lifescience Ltd

Concall Tracker, Q1-2027 update | Screener ticker: SUPRIYA | Prepared 6 Nov 2026 | Coverage capped at calls held by 30 Sep 2026 | Builds on the Q4-2026 report

1. Snapshot

What it does: Supriya makes APIs (active pharmaceutical ingredients, the working chemical inside a medicine) in a handful of niche areas: anti-allergy, anaesthetics, anti-asthma, vitamins, and newer ADHD and heart-drug ingredients. About four-fifths of sales are exports. Its edge is making most products from basic chemicals in-house, so it doesn't depend on China for half-made inputs.

₹5,601 cr
Market value. A small-to-mid sized drug-ingredient company.

₹190 cr
Q1 FY27 sales (Apr-Jun 2026). Up 31% on ₹145 cr a year ago, but last year's Q1 was itself hit by a shutdown.

25%
Q1 operating margin (EBITDA = profit before interest, tax and depreciation, as a share of sales). Down from the usual 35-36%. Its weakest in three years.

₹24 cr
Q1 net profit. Down from ₹35 cr. A higher tax rate made the drop worse.

~Nil debt
No working-capital loans used. About ₹150 cr in deposits and mutual funds.

68.3%
Promoter holding. Unchanged every quarter since listing.

2. Concall coverage

Quarter	Date	Read?
Q1 FY24 → Q3 FY26 (11 calls)	Aug 2023 - Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	28 May 2026	Read in the Q4-2026 report
Q1 FY27	14 Aug 2026	Newly deep-read in full ★

Only the Q1 FY27 call was read in full this time. The earlier history comes from the Q4-2026 report. On this call the MD (Dr Saloni Wagh) was joined by a new Joint MD, Shivani Wagh, and the CFO.

2b. Latest concall highlights: Q1 FY27 (call held 14 Aug 2026)

- **Sales up, profit down.** Sales ₹190 cr (up 31%), but operating profit fell 8% to ₹47 cr and net profit fell to ₹24 cr. Plain read: more was sold, but it cost a lot more to make.
- **Two one-off hits, says management.** A late monsoon dried up water at the Lote plant for 15-20 days and cost about ₹30-35 cr of output, pushed into later quarters. A change in Maharashtra's solar-power rules raised power costs (about ₹8 cr, partly a back-charge). Solvent prices rose too. Without these, they say margin would have been in the 33-35% range.
- **Guidance held.** Still aiming for close to ₹1,000 cr of FY27 sales at a 32-35% margin. Plain read: they now need roughly ₹270 cr a quarter for the rest of the year, well above Q1's ₹190 cr. They expect a much stronger second half.
- **A compliance problem.** A shipment of a controlled (psychotropic) drug went out two days after its export permit expired. An employee is in judicial custody and the case is in court. Management calls it a one-off human lapse limited to that one shipment, and has since got a fresh permit.
- **Tone:** calm and confident on the business, a bit defensive on the customs matter. Investors on the call asked why it wasn't explained sooner.

2c. Business mix & capacity

Mix (Q1 FY27): exports 81% of sales. Within exports Asia 39%, Europe 35%, Latin America 20%. Fully backward-integrated products slipped to 72% of sales (from ~76%). Plain read: a weaker Europe quarter meant less of the high-margin stuff. **Capacity:** the main Lote plant is "closer to exhausting" its capacity. Ambernath (finished medicines and contract work) has launched two anaesthetic products and faces an EU audit in the second half of November. Patalganga's ₹200 cr first phase has started with boundary walls, API blocks first. The big August maintenance shutdown was dropped in favour of smaller phased work.

2d. Since our last report

Builds on the **Q4-2026 report** (boundary call 28 May 2026). Prior verdicts: **trigger YES**, **consistency YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Regulated-market shift lifted sales and margin for three years.	Sales still growing, but margin fell to 25% and Europe was soft.	Slipping (for now)
Consistency: YES	Hit growth and margin targets for three years.	Q1 missed the margin band. A compliance lapse surfaced. Full-year guide kept.	Slipping
₹1,000 cr FY27 sales	Reaffirmed in May.	Reaffirmed again, now needs ~₹270 cr a quarter.	On-track, harder
33-35% margin	Beat for three years.	Q1 at 25%. Band quoted as 32-35% this time.	Slipping
Contrast media launch	Pushed to H2 FY27.	Still H2 FY27, process still being reworked for cost.	On-track (late)
Ambernath / CMO-CDMO	About two years late.	EU audit date set for late Nov. Large anaesthetic contract "close to a term sheet". DSM vitamin deal near peak volumes.	Improving
Patalganga	Break ground in FY27.	Walls going up. API blocks first.	On-track

Verdict change: trigger stays YES, as the drivers are intact and Q1's problems look mostly external. Consistency is **downgraded to MAYBE**: a clear margin miss, a compliance lapse that ended with an arrest, and a full-year target that now leans on a big second half.

3. Earning Trigger thesis

The story hasn't changed: Supriya wants to be the quality-certified, China-free supplier for niche drug ingredients, selling more into high-price regulated markets, adding a few new molecules a year, and building a contract-manufacturing arm at Ambernath. Q1 was a stumble on costs, not on demand. Management says demand stayed strong and the lost sales are deferred, not gone.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Regulated-market shift & margin	Margin 33-35% for the next 3-4 years.	Three years at 35-37%. Q1 at 25% on one-offs.	Now	Strong but dented	↓ Weakening (one quarter)
New products (ADHD, heart drug, anaesthetics, contrast media)	Strong second-half ramp. ADHD ingredient to reach full volume over two years.	Heart-drug ingredient commercial. ADHD scaling. Anaesthetic EU filing (CEP) expected Oct-Nov.	1-2 yrs	Moderate	Unchanged
CMO/CDMO & Ambernath	"One of the strongest verticals" in 3-4 years.	DSM near peak. One big anaesthetic contract close. EU audit in Nov.	FY27-FY29	Moderate, still unproven	↑ Improving
Capacity (Patalganga)	₹200 cr Phase 1, API blocks first.	Site work started. Lote near full.	2-3 yrs	Moderate	Unchanged

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY26 growth	~20% a year	+24%, +22%, +19%	Delivered
FY24-FY26 margin	28-30%, raised to 33-35%	30% → 37.4% → 35.5%	Delivered (beat)
Module-E capacity	Double capacity by end-FY25	Done Dec 2024	Delivered
Ambernath	Running from Q1 FY25	Two products launched, EU audit Nov 2026	Partly / ~2 yrs late
CMO/CDMO	~18-20% of sales	Only DSM commercial. Big contract not yet signed	Behind
Contrast media	Launch FY27 H1, then H2	Still H2 FY27	Delayed
Q1 FY27 margin	33-35% band	25%	Missed
FY27 ₹1,000 cr sales	Reaffirmed May and Aug	Q1 ₹190 cr	Too early, at risk

Narrative drift: the core story is still steady and the same family runs it. What's new is a run of operational trouble in one quarter: water, power, a soft Europe, and a compliance slip serious enough to land an employee in custody. Management's answers were straightforward, and they've started an SAP rollout and tighter quality systems. But the customs episode was only explained when investors pushed, and the "₹1,000 cr" promise now rests on a strong second half. Two June quarters in a row lost output (a shutdown in Q1 FY26, water in Q1 FY27), which shows the single main plant is a real weak spot.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Q1 hurt the margin but didn't break the story. Sales still grew, demand is there, new products are ramping, and the contract-manufacturing leg moved forward with an EU audit date and a large deal nearing signature. The drivers are the same ones that worked for three years. Watch whether the margin is back in the 30s by Q2 and Q3. If it isn't, the "one-off" explanation stops holding.

Management consistent? → MAYBE vs last quarter: downgraded

Downgraded on this call. The three-year record of hitting targets is real, but Q1 missed the margin band by a wide gap, the compliance lapse is a governance mark, and the full-year sales goal needs a sharp catch-up. Management kept every target rather than trimming any, which is either confidence or stubbornness. The second half will tell which.

Sources: Supriya Lifescience Q1 FY27 earnings call transcript (14 Aug 2026) from Screener.in; Screener financial data; prior Q4-2026 concall-tracker report. Not investment advice.